

HACKATHON · STARKNET

# Private OTC

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Atomic peer-to-peer trades.

No escrow. No third party. No funds ever locked.

~2 MINUTES

# Live demo

- Two browsers. Same `trade_id`. Opposite legs.
- One click each — **order doesn't matter**.
- Watch: balances flip atomically. Tampering reverts.

WHAT WE CHANGED IN THE PRIVACY POOL

# Proof and execution, **decoupled**

## Pool change

- Split `apply_actions` → `store_actions` + `apply_stored_actions`.
- **Proof verification** at *store* time. **Execution** at *apply* time.

## Built on top (our OTC app)

- Apply **both legs atomically** in one tx.
- Use the existing `InvokeExternal` hook to assert a **conditional check** during apply  
→ conditional trades.

## WHAT YOU GET

# A genuinely private OTC trade

- **Private** — amounts and tokens encrypted; only the two parties decrypt.
- **Atomic** — both legs settle in one tx, or neither does.
- **Peer-to-peer** — no third party, no escrow, no lock window.
- **Permissionless** — no identity checks. *Anyone* can submit the txs; only valid proofs settle. Bad proofs simply fail.
- **Symmetric** — both sides submit the same shape of call. No initiator role.
- **Order-independent** — second-to-join automatically settles both.

## HOW — THE KEY IDEA

# One proof carries **both halves** of the trade

- Each leg's proof commits to **(a)** transferring to the counterparty, and **(b)** checking the counterparty also transferred — scoped to the same `trade_id`.
- Naïve impl ⇒ **chicken-and-egg deadlock**.
- **Fix:** the helper contract turns the check into *"counterparty transferred me **OR** committed to transfer me here."*
- Net: a check that's **on-chain, private, and token+amount-bound**.

## PROOF POINTS

# It works. It can't be cheated.

| ORDER-AGNOSTIC         | TAMPER-EVIDENT                               |
|------------------------|----------------------------------------------|
| Alice first → settles  | Wrong token → revert                         |
| Bob first → settles    | Wrong amount → revert                        |
| Simultaneous → settles | Wrong recipient → revert                     |
|                        | Wrong <code>trade_id</code> → never pairs up |

*Videos show the revert + the failing assertion in the explorer.*

## WHAT'S NEXT

# Match Maker integration

- Alice and Bob submit their conditional proofs to a **Match Maker** — *not* to each other.
- The MM adds the only missing piece: a proof of *"transfer to Alice and transfer to Bob."*
- **Alice and Bob never need to know about each other.** Discovery, matching, and settlement on the fly.
- Add an **enclave**  $\Rightarrow$  even the MM doesn't see the trade details.

***Atomic. No lock. Zero trust. Executed on the fly.***

*Today the parties agree off-chain. Tomorrow the Match Maker does it for them — with the same privacy and atomicity guarantees.*